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Sukuk: Structure, stability and strategic opportunity

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Islamic finance is growing at a rapid pace, driven primarily by increasing demand for investors who seek Shariah-compliant investments. Sukuk, often referred to as Islamic bonds, surpassed USD 1trn in 2025, making them one of the fastest-growing segments of Islamic finance. The asset class's unique value proposition is driving its popularity, especially in an increasingly volatile global economic landscape.

Steve Brice

Global Chief Investment Officer

Manpreet Gill

Chief Investment Officer, EMEA

Hannah Chew

Portfolio Strategist

In this publication, we will explore the evolving role of Sukuk in wealth management, examining market fundamentals, risk frameworks and emerging opportunities within this market.

The evolving role of Sukuk

Sukuk, commonly referred to as Islamic bonds, are Shariah-compliant investment certificates representing ownership interests in underlying assets, usufructs (the right to use an asset and receive its benefits, without owning it) or ventures. In return, Sukuk holders receive periodic distributions, typically in the form of rental payments (Ijarah), profit-sharing (Mudarabah) or asset-generated cash flows, and upon maturity the principal amount is repaid. Sukuk differ from conventional bonds in several ways:

Fig. 1
Sukuk vs. conventional bonds

Aspect	Conventional bonds	Sukuk
Core principle	Lending (time-value of money)	Asset ownership
Underlying asset	Any asset, business or project	Must be Sharia-compliant
Returns	Guaranteed (fixed or floating interest)	Not legally guaranteed (depends on underlying asset's performance)
Risk	Issuer bears all performance risk	Shared risk between parties
Transparency	Moderate (depends on disclosure)	High (asset identification required)

Source: Standard Chartered

The role of Sukuk in the investing landscape is evolving amid global uncertainty and rising geopolitical tensions. Investors are increasingly seeking more stable and asset-backed alternatives. An investor can consider investing in Sukuk for the following reasons:

Resilient

Sukuk provide asset-backed collateral that conventional bonds often lack, offering a cushion during volatile market conditions. Historically, Islamic investments, including Sukuk, have been countercyclical, i.e. they tend to expand or remain stable when conventional markets contract. Across major market stress from the 2018 US-China Trade War through the 2026 Middle East Conflict, Sukuk bonds consistently outperformed Global Bonds — delivering smaller drawdowns in risk-off episodes such as the 2018 US-China trade war and 2022 higher for longer inflation, and greater resilience in geopolitical oil shocks, underscoring the asset class's structural defensive characteristics.



Fig. 2

Resilience through shocks

Event	Oil spot price at start of period	Oil spot price at end of period	Oil spot price change	Global bonds	Global Sukuk Bonds	EM Asia Bonds	EM Sukuk Bonds	EM USD Bonds
2018 US -China Trade War	64.3	45.4	-29.4%	-2.4%	-0.6%	1.1%	1.5%	-0.9%
2020 Covid-19	53.3	23.4	-56.2%	-3.1%	-9.0%	-8.4%	-7.3%	-16.6%
2022 Inflation overheat	95.0	78.8	-17.1%	-8.7%	-0.7%	-0.8%	-1.0%	-1.9%
2025 Liberation Day	71.7	62.4	-13.1%	0.0%	-0.9%	-2.3%	-0.9%	-2.8%

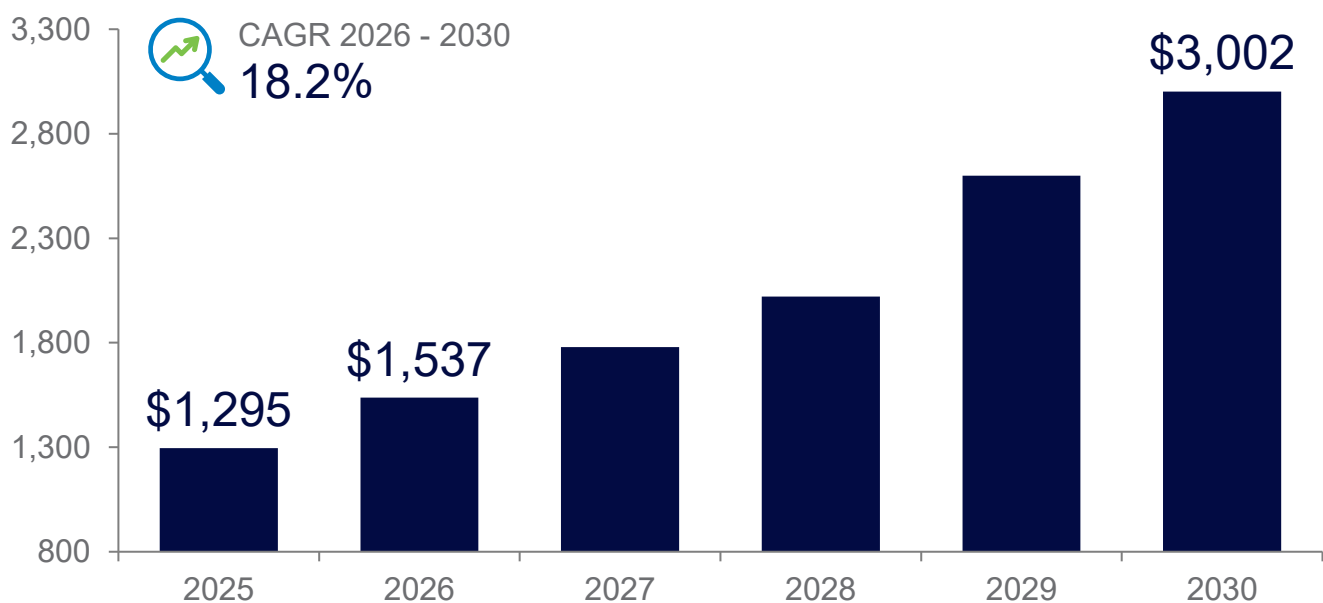
Source: Bloomberg, Standard Chartered

Strong fundamentals

The Sukuk market experienced an unprecedented 25% growth in issuance in 2025, with issuance nearly USD 300bn. According to some reports, the Sukuk market could reach USD 3trn by 2030 driven by increased demand for Shariah-compliant investments, sovereign funds' diversification needs, development of regulatory frameworks for Sukuk and growth in Middle East capital markets. Nearly 80% of Fitch-rated Sukuk carry investment-grade ratings and have little or no history of default, underscoring the sector's strong fundamentals. These factors should help to instil confidence among investors, who can look at Sukuk as central building blocks of their portfolio.

Fig. 3

Sukuk market size in USD bn



Source: The Business Research Company, Standard Chartered

Convergence with sustainable investing trends

Sukuk and sustainable bonds share more common ground than their different origins suggest, making sustainable Sukuk a natural bridge between Islamic finance and sustainable investing. This also helps explain Sukuk’s growing appeal beyond traditional Muslim investors, as evidenced by Sustainable Sukuk issuance rising from USD 464mn in 2017 to USD 9bn in 2024, representing a CAGR of 52.7%. The overlap starts with what Sukuk exclude: Shariah principles prohibit interest, excessive uncertainty and speculation, and screen out sectors financing harmful industries such as tobacco, gambling, weapons, adult entertainment and alcohol – a negative screen that closely aligns with the exclusionary (negative screening) method, commonly used in sustainable investing. Traditional Sukuk bonds require proceeds to be linked to identifiable real assets or projects, creating a ring-fenced structure like use-of-proceeds sustainable bonds. Combined with Shariah’s broader objectives of social welfare, resource stewardship and equitable risk-sharing, this creates strong alignment with the United Nations Sustainable Development Goals.

Green Sukuk is an established example, where proceeds are earmarked for environmental projects such as renewable energy, clean transport, energy-efficient buildings or sustainable water and wastewater management. Issuers must meet both Shariah approval from a recognised scholarly board and alignment with International Capital Market Association (ICMA) Green Bond Principles.

Traditional Sukuk already comply with Shariah laws such as avoiding Riba (interest-based returns arising from lending transactions), Gharar (investments with ambiguity) and Maysir (speculation). Sustainable Sukuk build on this foundation by adding environmental and social objectives. The table below highlights how sustainable Sukuk differ from traditional Sukuk.

Fig. 4
Traditional Sukuk vs. Sustainable bonds vs Sustainable Sukuk

Aspect	Traditional Sukuk	Sustainable Bonds	Sustainable Sukuk
Underlying structure	Asset-linked		
Use of proceeds	For any Shariah-compliant purpose	Exclusively green, social, or sustainable projects	
Environmental standards	Not beyond Shariah sector exclusions	ICMA Green/Social/ Sustainability Bond Principles	
Sector exclusions	Shariah screens	Framework dependent	Shariah screens plus the framework's own eligibility criteria
Shariah compliance	Required	Not applicable	Required, alongside sustainability standards
External review	Shariah board pronouncement only	Second party opinion	Shariah board pronouncement plus independent second party opinion
Impact reporting	Not required	Annual allocation and impact reporting until proceeds are fully deployed	
Investor base	Islamic and conventional finance investors	ESG and impact-focused investors	Islamic finance, ESG and impact-focused investors

Source: Standard Chartered

Digital integration

The integration of blockchain technology and digital platforms is revolutionising Sukuk issuance and trading, dramatically reducing transaction costs and expanding accessibility to a broader investor base. For instance, SAKKEX (an independent blockchain-based Sukuk marketplace) streamlines drafting, issuance, and near-instant settlement. Its Sukuk Wallet App also allows investors to trade on the go. Several such digital platforms now allow tokenised Sukuk that enable fractional ownership, automated Shariah compliance verification and real-time settlement, thereby addressing challenges that have persisted in Islamic finance markets. Digital tools also simplify cross border Sukuk transactions by enabling end to end digital origination and trading, with smart contracts automating profit sharing to cut operational costs and enhance transparency.

Sukuk structures and wealth mandates

Sukuk structures define the nature of ownership, risk-sharing and return generation. Several types of Sukuk structures exist and are defined by the underlying Shariah contract. We discuss some prominent ones below and see how they align with various phases of an investor's wealth journey:

Sukuk al-Ijarah is a Shariah-compliant lease-based bond where the investor gains partial ownership in a physical asset such as a building, airport or equipment. The asset is then leased back to the issuer who pays a nominal (pre-agreed) rent to the investor. An investor seeking stable, predictable income streams with lower volatility can consider investing in these Sukuk. The original principal amount is returned at the end of the lease period.

Ijarah Sukuk are ideal for the wealth preservation phase of an investor's wealth journey. For instance, investors nearing retirement typically need to restructure their portfolios by shifting from growth to preservation while generating steady income to cover living expenses. Ijarah Sukuk deliver on both fronts: protecting capital through asset-backed structures while providing predictable rental income that supports household needs without depleting principal.

Sukuk al-Murabahah are cost-plus financing structures where the issuer buys an asset and immediately resells it to the investors at a marked-up price, with payment deferred over a pre-determined time. Consider this: Let us assume, a company needs USD 100m. A special purpose vehicle (SPV), established by the company, mobilises funds from investors and buys commodities worth USD 100m and immediately resells them to the company for USD 112m payable over time. The USD 12m difference is the agreed profit margin. Murabahah Sukuk are best suited for investors seeking income over a short to medium term, typically, 1-5 years. Investments in this type of Sukuk return the principal gradually throughout the investment period rather than only at maturity.

Investments in Murabahah Sukuk are best suited for wealth protection and income generation. Unlike Ijarah which return principal as a lump sum at maturity, Murabahah amortise both profit and principal in each instalment. This makes them ideal for retirees who need to systematically draw down capital to fund living expenses without depleting their portfolio too quickly.

Sukuk al-Mudarabah is a profit-sharing partnership arrangement where investors provide 100% of the capital and operate as silent partners. The issuer manages the business or project as the active partner. Under a Mudarabah arrangement, financial losses arising from normal business risks are borne by the investors in proportion to their capital contribution, while the Mudarib loses its effort and entitlement to profit. However, where losses result from negligence, misconduct, breach of agreed terms, or misconduct by the Mudarib, the Mudarib may be held liable. Think of it as venture capital meets bonds; you fund the business, professionals run it and you share the profits or bear the losses resulting from the business activities. Mudarabah Sukuk are often regarded as one of the structures most closely aligned with the Shariah principle of profit and loss sharing. However, they bear higher risk and lower predictability compared to other structures.

Investors with a growth mindset and open to high-risk tolerance can consider investing in these Sukuk. They best align with accumulation and growth phase of the wealth journey, typically, when investors have long time horizons to absorb volatility and can afford capital risk for higher returns. However, to balance risk, it is important for investors to diversify across various types of Sukuk. Even within Mudarabah, they can consider investing in multiple projects, sectors and geographies.

A joint venture partnership structure where both investors and the issuer contribute capital is **Sukuk al-Musharakah**. In this structure, both parties (issuer and investors) jointly provide capital, participate in managing the venture, and share profits or losses based on agreed upon ratios. This structure appeals to investors focused on growth, interested in active participation, and prepared to take on greater risk in pursuit of higher returns.

Musharakah Sukuk are best suited for the growth and accumulation phase where investors are building wealth aggressively, comfortable with high risk and able to lock up capital for the long term (typically 5+ years).

Sukuk al-Wakalah is an agency arrangement where investors appoint a representative from the issuing company as their Wakil (agent) to invest their funds in specific Shariah-compliant assets or projects in exchange for a fee. This arrangement is similar to a mutual fund or ETF, where the agent manages a diversified pool of Shariah compliant assets on behalf of the investors. Investors benefit from professional fund management, diversification, transparency and flexibility. Depending on issuer preferences, Wakalah Sukuk can be structured with lower investment thresholds, making them accessible to a wide range of investors.

Wakalah Sukuk suitability depends heavily on the underlying asset allocation and risk profile. Conservative Wakalah structures investing in stable, income-generating assets suit wealth preservation. Moderate-risk Wakalah can complement accumulation portfolios as a diversification tool, though not as a primary growth driver as their structure and risk mandate limit upside potential.

Sukuk al-Istisna is a project financing structure based on a manufacturing or construction contract. Investors provide upfront capital to finance the construction of specific assets. Upon completion, the asset is sold to an end buyer (often the original issuer or a third party) who makes deferred payments including the cost plus a mark-up, which are then distributed to investors. Istisna suits seasoned investors with construction finance expertise and those who can absorb development risk and commit capital for the long term. Owing to its complexity and higher risk profile, this type of Sukuk typically requires large initial investments, making it less accessible to retail investors.

In the wealth cycle, Istisna are best aligned with the accumulation and growth phase, when long time horizons can absorb construction delays and development risks. The long-term commitment and potential for cost overruns or project failure make it unsuitable for later wealth stages such as retirement.

Sukuk al-Salam is an Islamic bond backed by a forward purchase contract where investors pay upfront for commodities to be delivered later. At its core, they are similar to forward contracts. However, unlike a forward contract, Salam contracts are fully prepaid, standardised and designed with clearly defined delivery terms to reduce uncertainty (gharar). Under this arrangement, an investor profits from the difference between the lower Salam purchase price (paid today) and the higher resale price (received at delivery).

Salam Sukuk carry high delivery and price risk and aligns well with investors in the growth and accumulation phase. Salam requires strong commodity-market expertise, deep understanding of production and delivery risks, and the ability to assess the issuer's operational capacity to deliver the specified goods on time.

Fig. 5
Types of Sukuk structure

Sukuk type	Basic structure	Return basis	Risk level	Best fit wealth stage
Ijarah	Lease-based	Rental income (fixed or variable)	Low	Wealth preservation/ protection
Murabahah	Cost-plus sale	Fixed profit margin	Low-medium	Wealth preservation/ protection
Wakalah	Agency-based	Expected profit rate (not guaranteed)	Medium	Wealth preservation and accumulation
Istisna	Project financing	Fixed or variable, tied to project progress	Medium-High	Wealth accumulation
Mudarabah	Profit-sharing partnership	Variable profit share	High	Wealth accumulation
Musharakah	Joint venture partnership	Profit and loss sharing	High	Wealth accumulation
Salam	Commodity financing	Resale value of the commodity upon delivery	High	Wealth accumulation

Source: Standard Chartered



Risk management and due diligence

Owing to their ethical framework and asset-backed nature, Sukuk are often considered relatively less risky than conventional bonds. However, they are not immune to risks. Unique challenges such as asset quality deterioration and structure-specific exposures require rigorous risk management.

Fig. 6
Risk management

Type of risk	Description	Sukuk types exposed	Mitigation strategies
Default	Issuer fails to pay rental	Ijarah	Over-collateralisation; assess issuer fundamentals; purchase undertakings
Mark-up	Fixed profit margin may not reflect market rates	Murabahah	Floating-rate structures; regular repricing clauses
Profit sharing	Lower-than-expected returns from profit-sharing ventures	Mudarabah, Musharakah	Profit smoothing reserves; performance incentives for manager
Business performance	Underlying business generates insufficient cash flows	Mudarabah, Musharakah	Due diligence; diversified portfolios; minimum return clauses
Capital loss	Investors bear losses from business operations	Mudarabah, Musharakah	Capital protection agreements; third-party guarantees
Agent performance	Wakil mismanages funds or fails fiduciary duties	Wakalah	Performance bonds; strict governance; regular audits
Construction	Delays, cost overruns in asset development	Istisna	Completion guarantees; penalty clauses; Takaful coverage
Delivery	Manufacturer fails to deliver completed asset	Istisna, Salam	Performance bonds; escrow arrangements; alternative suppliers
Price	Market price movement against expectations	Mudarabah, Musharakah, Salam	Performance monitoring, diversification and enhanced governance controls.

Source: Standard Chartered

Due diligence in Sukuk extends beyond traditional credit analysis and an investor should also consider the following:

- Shariah compliance verification can be done by evaluating the Sukuk structure and confirming that its mandates and underlying assets fully align with Islamic principles.
- Evaluating asset quality by verifying tangibility, cash-generating capability and legal ownership can help investor reduce risk.
- Assessing creditworthiness and market depth will help in identifying financially strong Sukuk issuers and ensuring adequate liquidity.

- Cross-border Sukuk investments remain viable, contingent on careful scrutiny of legal documentation across multiple jurisdictions to ensure enforceability and investor protection.

Robust due diligence and proactive risk mitigation strategies are essential to protect capital and stay aligned with Islamic financial principles.

Emerging trends

Staying up to date on the latest developments in the Sukuk market is important as this space is constantly evolving and rapidly expanding. Moreover, Islamic finance is not static; Shariah interpretations related to Sukuk structures are periodically redefined. Staying informed protects investors from investing in non-compliant options. We look at some of the factors that are guiding the future of this landscape:



Green Sukuk issuance is projected to grow materially through 2030, reflecting the natural convergence of Islamic finance and sustainability principles. Key sectors include renewable energy, green buildings, low-carbon transportation, water and waste management and sustainable agriculture.



Tech advancements are revolutionising Sukuk origination, trading and accessibility. Digitisation offers numerous benefits to the Islamic finance landscape: streamlined issuance and trading processes, enhanced accessibility through tokenisation, immutable audit trails via blockchain technology and improved secondary market liquidity.

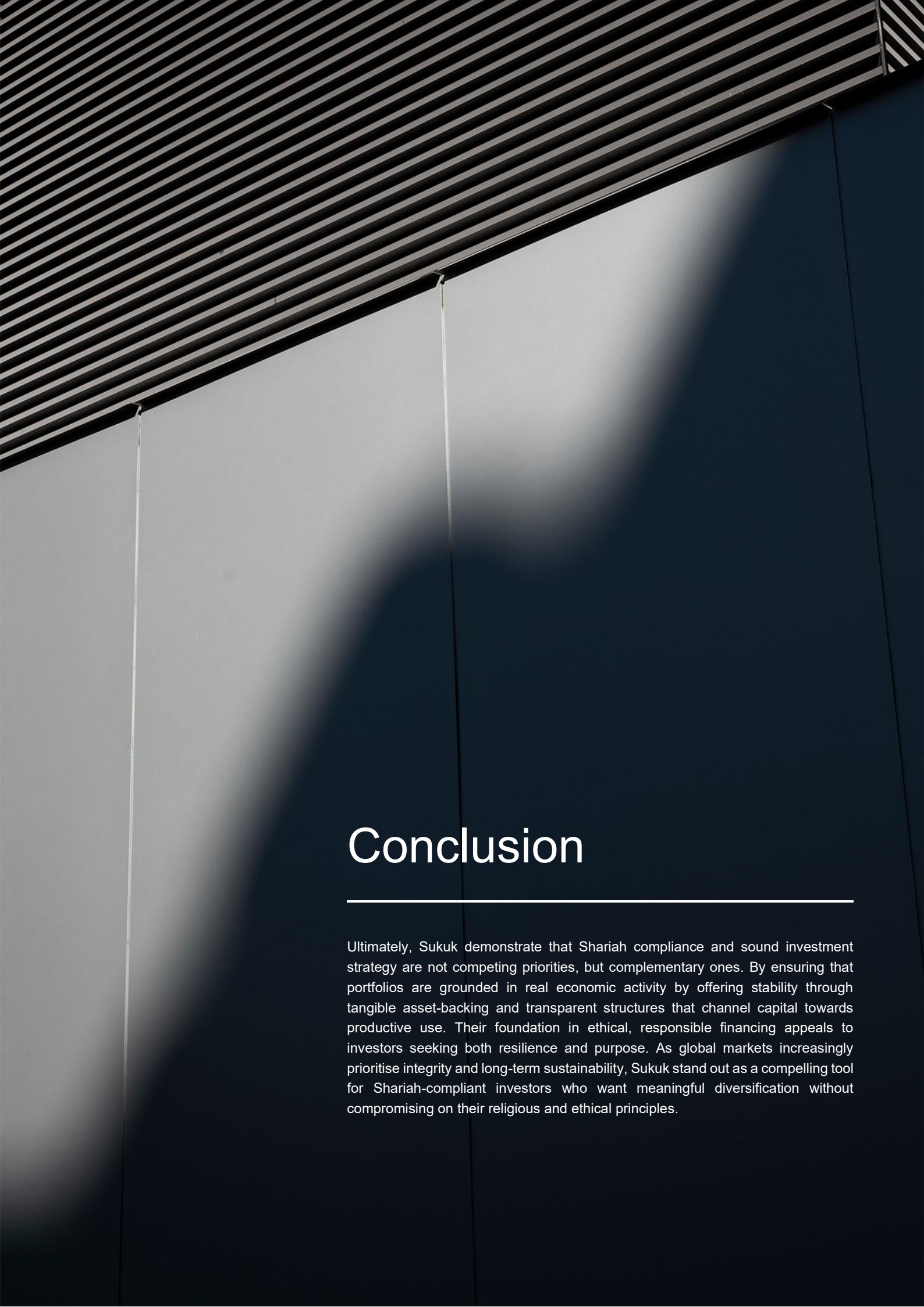


A major **regulatory shift** is likely to create standardised rules across Islamic finance markets globally. The pivotal development is AAOIFI's Standard 62, launching in 2026, which mandates transparent, Shariah-compliant asset-backing and genuine asset ownership. This can fundamentally strengthen the Islamic authenticity of Sukuk structures.



The Sukuk market is rapidly expanding beyond its traditional Islamic finance strongholds. **Non-traditional territories** in Africa (e.g., Algeria, Benin and Nigeria), Europe (e.g., Luxemburg, UK) and Asia (e.g., Turkey, Pakistan) are emerging as Islamic capital market gateways. This expansion underscores the evolution of Sukuk from a niche Islamic product to a globally recognised asset class attracting diverse sovereigns and investors across continents.





Conclusion

Ultimately, Sukuk demonstrate that Shariah compliance and sound investment strategy are not competing priorities, but complementary ones. By ensuring that portfolios are grounded in real economic activity by offering stability through tangible asset-backing and transparent structures that channel capital towards productive use. Their foundation in ethical, responsible financing appeals to investors seeking both resilience and purpose. As global markets increasingly prioritise integrity and long-term sustainability, Sukuk stand out as a compelling tool for Shariah-compliant investors who want meaningful diversification without compromising on their religious and ethical principles.

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InvesTips

Roots and routes – A framework for Global Indian investors

September 2026



WS Global CIO Office

Two investor profiles, one shared opportunity

India's financial coming of age has created a generation of investors at a distinctive crossroads: deeply connected to one of the world's fastest-growing economies, yet increasingly aware that portfolios concentrated in a single market can accumulate risks over time.



This report discusses the challenges faced by two distinct '**Global Indian**' investor profiles. The first is the **onshore Indian investor**: a resident Indian whose wealth is largely denominated in domestic equities and fixed income, but who may still treat global markets as an occasional satellite allocation rather than a core portfolio component. The second is the **offshore Indian investor**: a non-resident Indian (NRI) based outside India with full access to global capital markets, yet who may be under-allocated to the growth story unfolding in their country of origin. Because global benchmarks understate India's economic importance, investors seeking more meaningful participation in its growth story may consider allocating above benchmark levels, with NRIs' potential stronger affinity with India providing an additional reason to make this adjustment.

For both groups, the starting point is the same: a concentrated bias towards either Indian or global markets can create risks that diversification can help mitigate without requiring investors to abandon their core convictions. For onshore Indian investors, global assets can provide structural currency diversification and access to sectors that are under-represented in Indian indices. Our Capital Market Assumptions (CMAs) illustrate the potential portfolio benefits: increasing the allocation to global assets from 0% to 15% raises expected returns while reducing expected volatility meaningfully. As a result, the portfolio's risk-adjusted returns improve.

For offshore Indian investors, India offers a real yield premium, a rising weight in global indices and long-term growth that remains meaningfully under-represented in global benchmarks. A historical perspective illustrates the opportunity: since 2001, Indian equities have delivered over 10% annualised returns in USD terms, outperforming Developed Market equities over the same period.

Onshore and offshore Indian investors may share the same connection to India, but they face very different portfolio challenges. There are key dividing lines that determine how each investor should think about diversification, risk management and the role of Indian assets within a broader investment portfolio.

Manpreet Gill
Chief Investment Officer, EMEA

Sylvain Huard
Head of Asset Allocation

Hannah Chew
Portfolio Strategist

Base currency – the first and most important divide

The onshore Indian investor earns, spends, saves and ultimately retires in rupees (INR). Their relevant return is, therefore, an INR return. If the INR depreciates against the US dollar (USD), foreign assets rise in INR terms and can act as a natural hedge. If the INR appreciates, those same assets deliver lower INR returns than their local-currency performance would suggest. For the offshore investor, the currency problem is reversed. Their benchmark is typically USD-based, and Indian markets are the exposure that introduces exchange-rate risk. A strong year for Indian equities in INR terms may look less compelling once translated back into USD at an unfavourable exchange rate.

Regulatory access – different constraints, different routes

The onshore Indian investor operates within the Liberalised Remittance Scheme (LRS) framework. Depending on their circumstances, this can offer meaningful or constrained access to global markets. Fund-of-funds and international exchange-traded funds (ETFs) can also offer alternative access routes, as opposed to direct securities alone.

For the offshore Indian investor, the challenge is less about access to India than choosing the most appropriate investment route. They can generally invest through onshore accounts, while offshore-listed funds and ETFs may offer a more convenient alternative. The preferred structure will depend on their residency, tax domicile and product eligibility, making careful planning important even where access itself is relatively broad.

As an example, India's Gujarat International Finance Tec-City (GIFT City), home to the country's International Financial Services Centre (IFSC), is one potential implementation route available to both onshore and offshore Indian investors. For offshore investors, GIFT City offers an efficient way to access India-linked and global investment products with little or no need for INR conversion, while allowing foreign-currency repatriation. For onshore investors, it can facilitate USD-denominated exposure through foreign-currency accounts under the LRS, providing a domestically regulated, yet globally oriented platform for portfolio diversification.

Portfolio risk – concentration on one side, under-allocation on the other

The onshore Indian investor's core risk is concentration and complacency: a portfolio almost entirely exposed to India's domestic economic cycle, policy environment and sectoral composition. This is not a prediction that these will deteriorate, as India's structural growth story remains compelling. Rather, this implies the risk is structural when all equity exposure sits within a single market, causing the portfolio to react simultaneously to the same domestic catalysts. By contrast, the offshore Indian investor faces the opposite problem: under-allocation to one of the world's fastest-growing economies, driven partly by access frictions and partly by the difficulty of sizing a home-market allocation through a global investment framework.

Fig. 1

Risk profile breakdown between an Indian onshore investor vs a USD offshore investor

	INR onshore investor	USD offshore investor
Starting point	India-based investor whose wealth, spending and returns are primarily measured in INR	NRI whose portfolio benchmark is typically USD or another major currency
Currency lens	Foreign assets add currency risk, but can also hedge INR depreciation	Indian asset exposure adds INR risk; local returns can be reduced or bolstered when translated back to USD
Access route	Typically through LRS or family office structures	Typically use ETFs, Foreign Portfolio Investor (FPI) structures or the Fully Accessible Route (FAR)
Portfolio role	Indian assets remain the core; global assets diversify sector, cycle and currency exposure	Global markets remain the core; India is a deliberate growth and real-yield overweight
Core risk	Home-market concentration, domestic-cycle dependence and limited sector breadth	Under-allocation to India, INR volatility and operational complexity

Source: Standard Chartered

The building blocks of a Global Indian portfolio

A diversified portfolio makes sense regardless of the investor profile

Before examining the specific assets available to Global Indian investors, it is useful to step back and ask a more fundamental question: why hold multiple asset classes at all? The simple answer is diversification. Because different asset classes play different roles and perform differently across economic and market conditions, combining them thoughtfully can reduce risk, create more consistent outcomes and build greater portfolio resilience than relying on any single asset class alone.

Each major asset class tends to perform best under different economic conditions. Equities usually benefit when corporate earnings are growing and investor confidence is strong, but they can fall sharply when growth disappoints or credit conditions tighten. Bonds can provide income and may hold their value, or even appreciate, when growth slows and central banks ease policy, but they typically face pressure when inflation is high and interest rates rise. Gold has long been viewed as a geopolitical and inflation hedge, and its relatively low correlation with equities and bonds can make it a useful portfolio diversifier.

In practice, a portfolio concentrated in a single asset class – whether Indian equities, USD cash or any other standalone exposure – is implicitly relying on one set of economic and market conditions remaining favourable. A thoughtfully constructed multi-asset portfolio does not need to be the best performer in every year, but it is also unlikely to be the worst. Its purpose is to build resilience across market cycles: capturing growth when conditions are supportive, limiting

downside when stress emerges, and compounding steadily over time in a way that no single asset class can consistently achieve on its own.

A practical asset-class toolkit for Global Indian investors

Developed Market (DM) equities

These are typically shares in large, established companies across the US, Europe, the UK and Japan and usually represent the largest and most liquid equity markets in the world. They are home to the technology giants, global healthcare leaders and consumer brands that dominate their sectors globally – many of which have no equivalent in Indian indices. DM equities provide the broadest possible access to global corporate earnings growth, and for onshore investors, they provide USD and other major currency exposure that structurally helps hedge against INR depreciation. For offshore investors, DM equities are the natural portfolio core, given their base currency and broad exposure of the asset class in global markets.

Emerging Markets (EM) equities

EM equities span a broad universe of developing economies, including China, South Korea, Taiwan, Brazil and other major EM markets. They offer greater growth potential than DM equities, but also tend to be more volatile. Their returns are supported by rising consumption, commodity cycles and the expansion of industry and the middle class. For Indian investors, EM equities provide exposure to regional peers that behave differently from Indian domestic markets, adding a layer of diversification within the equity sleeve.



Indian equities

Indian listed equities can be split up into two distinct sub-asset classes: 1) small- and mid-cap equities and 2) large-cap equities. The latter represent India's established blue-chip companies with strong balance sheets and have relatively lower volatility within the Indian equity spectrum. These are typically the anchor of any Indian equity allocation. Meanwhile, small- and mid-cap equities tap into a different part of India's growth story: the domestic consumption engine, the formalisation of the informal economy and the entrepreneurial mid-market that scales rapidly in a high-growth environment. They offer meaningfully higher potential returns, but also comes with higher volatility and lower liquidity, making the appropriate allocation dependent on the investor's risk tolerance and investment time horizon.

DM Investment Grade bonds

Developed market investment grade bonds encompass two closely related asset classes that play a core defensive role in portfolios. Government bonds, such as US Treasuries, German Bunds, and UK Gilts, are issued by highly rated sovereigns and are widely regarded as the closest equivalent to a risk-free asset within global markets. Investment grade corporate bonds, issued by financially strong companies rated BBB- or above, offer higher yields than government bonds in return for accepting a modest amount of credit risk.

Together, these assets provide an important source of portfolio stability. Government bonds have historically performed well during periods of economic uncertainty and market turbulence, helping to cushion equity losses when investors seek safer assets. Investment grade corporate bonds enhance overall income generation while maintaining relatively low volatility, allowing investors to improve return potential without taking on the higher risks typically associated with equities.

EM USD bonds

EM USD bonds are USD-denominated debt issued by EM sovereign and quasi-sovereign borrowers, including countries such as Indonesia, Mexico, Brazil and South Africa. Their USD denomination removes direct exposure to the issuers' local currencies, making them a more accessible entry point into EM fixed income than local-currency bonds, particularly for offshore investors with hard-currency liabilities. For onshore investors, EM USD bonds add hard-currency fixed-income exposure and can diversify portfolios concentrated in Indian equities and INR interest-rate risk. However, their returns still depend on global interest rates, credit spreads and investor risk appetite.

India government bonds

The Indian bond market offers something that is increasingly rare globally: a genuine positive real (net-of-inflation) yield. India's 10-year government bond yielded around 6.7% in mid-2026 against a headline inflation of about 4.4%. This represents a positive real yield of nearly 2.8% that compares favourably to most DM alternatives. India's inclusion in global bond indices is now also channelling systematic passive inflows into this market, providing an additional structural demand tailwind.

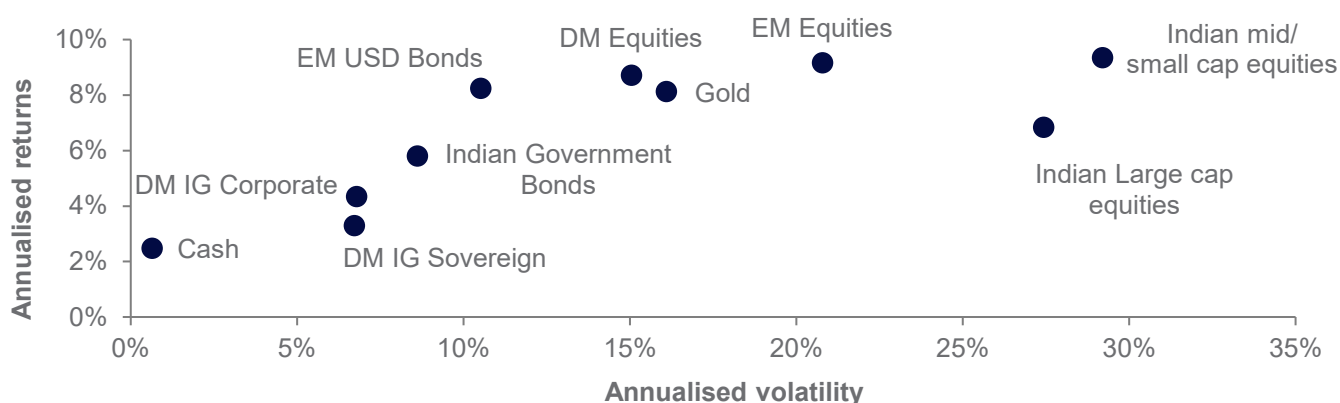
Gold

Gold occupies a unique role in this framework particularly for Indian investors. Beyond its universal function as an inflation and geopolitical hedge, gold in INR terms has historically delivered strong returns during periods of INR weakness because gold prices are globally denominated in USD. When the INR depreciates, the INR value of gold rises, providing a natural cushion against the same currency dynamics that erode domestic purchasing power.

Fig. 2

Comparing asset class risk and return since 1995*

Risk-return spectrum of asset classes in USD



Source: Bloomberg, Standard Chartered

Data as of 31 August 2026

* Data for DM IG Corporate bonds from Oct 2000; data for Indian Government Bonds from Jan 1999; data for EM Equities from Jan 2001

Why an India-only portfolio may not be enough

The case for global exposure for onshore Indian investors – Most resident Indian investors already diversify across asset classes, typically holding a mix of equities, fixed income and, in some cases, commodities such as gold. However, this diversification is usually implemented through domestic assets. The gap, therefore, is not necessarily a lack of asset-class breadth, but a lack of geographic diversification. This is where global investing can play an important role: by adding exposure to different economies, currencies, sectors and market cycles beyond India.

Argument

01

The INR depreciates structurally

Since India's market liberalisation in the early 1990s, the INR has depreciated significantly against the USD, weakening from approximately INR 31 per USD in 1994 to more than INR 95 per USD by August 2026 – an annualised depreciation rate of 3.4%. This long-term depreciation is not simply a market fluctuation; it reflects a structural feature of an economy that has persistently run higher inflation than the US. For investors holding only INR-denominated assets, this creates a gradual erosion of global purchasing power over time. USD-denominated foreign assets can, therefore, serve as a structural currency hedge, helping preserve international purchasing power rather than representing a speculative currency bet.

Fig. 3

Decades of INR depreciation against USD highlight the currency risk embedded in India-only portfolios

INR/USD exchange rate since 1994



Source: Bloomberg, Standard Chartered
Data as of 31 August 2026

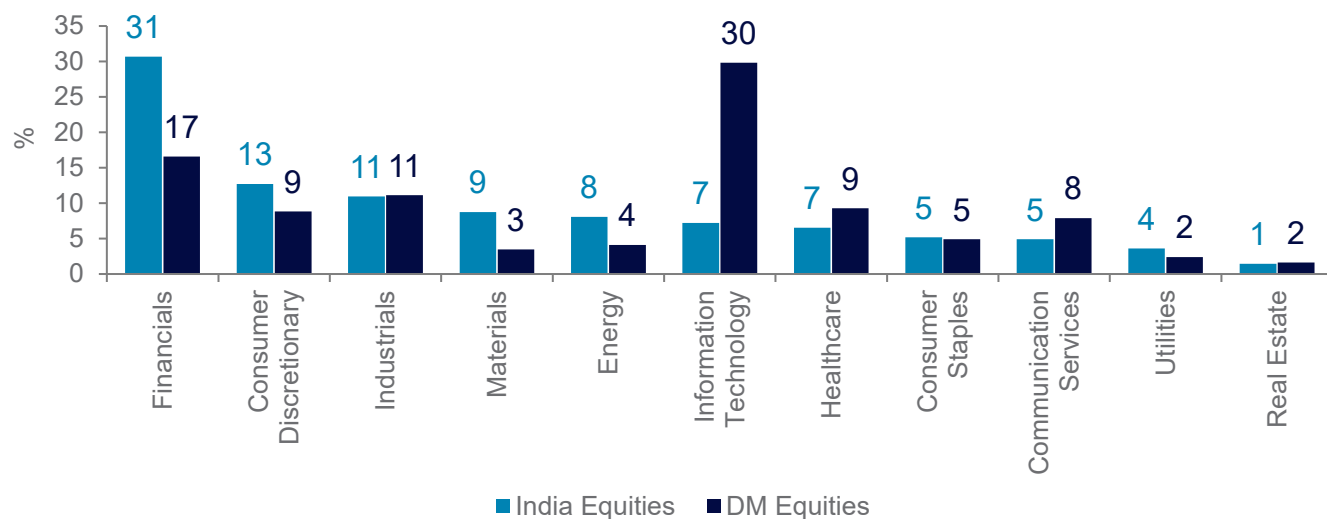
Sector gaps in Indian equity markets

Indian equity indices remain heavily weighted towards the financial, consumer discretionary and industrial sectors. By contrast, technology – the largest sector in global DM indices – has a much smaller representation in India's listed market, despite the scale and importance of India's broader technology economy. This gap has become more significant with the rise of artificial intelligence (AI). While India has strong technology talent and growing AI adoption, Indian markets offer little-to-no exposure to technology in the investible equity market. As a result, investors with portfolios concentrated in Indian equities have limited exposure to global technology leaders. Adding DM equities, therefore, provides sector diversification, including greater participation in the growth opportunities associated with AI, as well as geographic diversification.

Fig. 4

Looking beyond India expands sector exposure

Sector exposure of the MSCI World and MSCI India indices as of 31 August 2026



Source: FactSet, Standard Chartered



Argument

03

Market cycles are not synchronised

Indian equities respond sharply to domestic catalysts: RBI rate decisions, monsoon outcomes, fiscal borrowing announcements and India-specific political developments. When these factors turn negative, they tend to affect domestic equity positions simultaneously. Global equity markets are not driven by the same catalysts, so a domestic Indian growth slowdown does not cause US corporate earnings to fall or other global equities to retreat. Adding a global equity sleeve means that not all equity exposure moves in tandem during a domestic downturn.

The same logic applies to bonds. Indian bonds respond primarily to RBI monetary policy, domestic inflation and India's fiscal borrowing calendar. These drivers are largely independent of the global rate cycle. An investor holding only Indian equities and Indian bonds has all of their assets exposed to the same set of domestic macro factors at once. A portfolio that blends Indian and global assets reduces this localised cycle dependency, spreading exposure across markets that follow different cycles.

Fig. 5

Different markets lead at different times because their return cycles are driven by different economic, currency and policy forces

Five-year annualised rolling returns of DM and Indian equities in INR



Source: Bloomberg, Standard Chartered

Why Indian assets still belong in every offshore Indian investor portfolio

The case for Indian asset exposure for offshore Indian investors – India stands out as one of the few major economies where 6-7% annual real GDP growth remains a credible base case through the end of the decade. For offshore investors, the allocation case is not built on growth alone, but on **four reinforcing pillars**: a structural growth premium unmatched among large economies; reforms that have improved the quality and breadth of that growth; a demographic dividend that still has years to run; and a digital public infrastructure revolution that is lifting productivity at population scale.



The growth premium

According to the International Monetary Fund, India remains the world's fastest-growing major economy. Real GDP expanded by 7.6% in 2025 and is projected to grow by 6.5% in 2026 – outpacing China at 4.4%, G7 economies at 1.6%, and EM and developing economies at 3.9%. This is not a one-year outlier. Apart from the Covid-19 pandemic shock, India has sustained a 6-8% real GDP growth range for much of the past decade, reinforcing its structural growth premium.

This structural growth is also reflected in equity-market performance. Since 2001, Indian equities have delivered annualised returns of 10.1% in USD terms, outperforming DM equities, which returned 7.5% annualised over the same period. This long-term track record reinforces the case for including Indian equities as a deliberate source of growth within an offshore investor's portfolio.

For offshore investors, there is a clear benchmark gap. A global equity benchmark allocation of around 1.3% to India materially understates the country's economic weight. India accounts for roughly 8.2% of global GDP on a purchasing power parity basis in 2025, which is significantly higher than its equity index weight. As Indian capital markets deepen and foreign ownership constraints ease, this gap between economic weight and index representation should continue to narrow, while rising benchmark inclusion can create a recurring source of passive inflows into Indian assets.



Economic and market reforms

India's growth story over the past decade has not just been about the pace of GDP expansion. It also reflects a series of market-oriented reforms that have strengthened the investment environment and made growth more durable and accessible to long-term capital. Examples include the Goods and Services Tax, the Insolvency and Bankruptcy Code, the Real Estate Regulation and Development Act and measures to deepen and formalise domestic capital markets. Taken together, these reforms have improved the structural competitiveness of the Indian economy in ways that show up in productivity growth, foreign direct investment inflows and market depth – not just in headline GDP numbers.



Demographic dividend

India's demographic advantage is a long-term structural tailwind, not a short-term population bulge. The country has the world's largest working-age population and, with a median age of around 29.2 (according to Worldometer's latest data), remains one of the youngest major economies. As more Indians enter the formal workforce, earn higher incomes and build financial savings, they can support a broader domestic consumption base, deeper financial intermediation and continued capital-market growth. The shift in household savings from physical assets, such as gold and real estate, towards financial assets reinforces this trend. Monthly systematic investment plan (SIP) inflows into mutual funds, which have risen from approximately INR 36.6bn in 2016 to more than INR 310bn in 2026, are a clear expression of this demographic and savings transition. They also create a durable, domestically-sourced demand base for Indian equities that is less dependent on foreign capital flows.

However, the demographic dividend is not automatic; its realisation will depend on equipping a growing workforce with employable, industry-relevant skills and creating sufficient productive jobs. India has made meaningful investments in this direction through the Skill India Mission, including vocational training, apprenticeships and courses aligned with emerging sectors. Sustained improvements in training quality, employer alignment and job creation will, therefore, be critical to convert India's demographic scale into lasting gains in productivity, income and economic growth.



Digital infrastructure

India's digital public infrastructure – collectively known as the India Stack – has built a low-cost, inter-operable rails system that is accelerating formalisation, financial inclusion and commercial productivity at a speed with few global parallels. Examples include Aadhaar for identity, the Unified Payments Interface for payments, DigiLocker for documentation and the Open Network for Digital Commerce. Together, these platforms are productivity infrastructure: reducing the cost of doing business, formalising the informal economy and expanding the addressable market for financial services companies, fintechs, consumer platforms and logistics businesses in ways that compound into earnings growth over time.



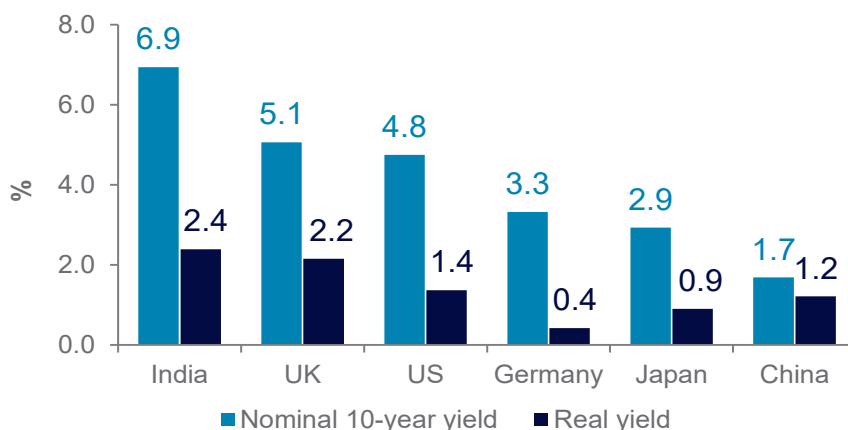
The India fixed income opportunity

India's 10-year government bond yielded around 6.7% in mid-2026, against headline consumer inflation of approximately 4.4% – implying a real yield of around 2.4%. This compares to near-zero or negative real yields in much of the developed world over the past decade and to real yields of 1-2% available in most comparable EM bond markets.

Fig. 6

India's real yield opportunity

10-year nominal and real yields of select DM and EM governments



Source: Bloomberg, Standard Chartered
Data as of 31 August 2026

The structural catalyst that makes this asset class particularly compelling for offshore investors is bond index inclusion. Indian government bonds began entering the JPMorgan Government Bond Index-EM Global Diversified Index from June 2024, reaching the 10% cap by March 2025. Bloomberg separately announced inclusion of Indian FAR bonds in the Bloomberg EM Local Currency Government Index, with phased inclusion beginning January 2025. These are not one-off technical adjustments; they create a recurring channel of systematic passive demand, as index-tracking funds allocate to India's sovereign bond market in line with its rising benchmark representation.

The portfolio impact

For onshore Indian investors, adding global assets can improve portfolio resilience without diluting expected INR returns. Our modelling shows that moving from a fully domestic portfolio to a 15% global allocation lifts the expected return only marginally, from 8.42% to 8.44%, but reduces expected volatility more meaningfully, from 18.38% to 16.86%. This improves the risk-adjusted return from 0.46 to 0.50. The benefit comes from exposure to markets, sectors and currencies that do not move in lockstep with Indian assets, helping reduce domestic concentration risk while adding access to different structural growth drivers.

Fig. 7

Adding global assets improves portfolio efficiency for onshore Indian investors

Portfolio allocations and statistics

INDIA Onshore	0% Global assets	5% Global assets	10% Global assets	15% Global assets
Cash	5.0	5.0	5.0	5.0
Fixed Income	40.0	40.0	40.0	40.0
Equities	50.0	50.0	50.0	50.0
Gold	5.0	5.0	5.0	5.0
Cash	5.0	5.0	5.0	5.0
DM IG Govt Bond	0.0	0.5	1.0	1.5
DM IG Corporate Bonds	0.0	1.5	3.0	4.5
EM USD Bonds	0.0	0.5	1.0	1.5
India Bonds	40.0	37.5	35.0	32.5
Developed Markets Equity	0.0	1.5	3.0	5.0
Emerging Markets Equity	0.0	1.0	2.0	2.5
India Equity	50.0	47.5	45.0	42.5
India Large-cap Equity	30.0	28.5	27.0	25.5
India Mid-/Small-cap Equity	20.0	19.0	18.0	17.0
Gold	5.0	5.0	5.0	5.0
	100	100	100	100
Expected returns (INR)	8.42%	8.43%	8.43%	8.44%
Expected volatility	18.38%	17.87%	17.38%	16.86%
Risk-adjusted return (INR)	0.46	0.47	0.49	0.50
Historical 10Y returns (INR)	10.27%	10.33%	10.39%	10.46%
Historical 10Y volatility	8.52%	8.30%	8.10%	7.92%
Risk-adjusted return (INR)	1.21	1.24	1.28	1.32

Source: Bloomberg, Standard Chartered

Note: Portfolio allocations are illustrative only and should not be relied upon as investment advice or used as the basis for investment decisions

For offshore investors with globally diversified portfolios, Indian assets are best viewed as a deliberate strategic tilt towards a differentiated source of long-term growth, rather than as a near-term portfolio efficiency trade. Based on our forward-looking Capital Market Assumptions (CMAs), increasing the allocation to Indian assets to 15% leaves the expected USD return broadly unchanged at 6.10%, while expected volatility rises from 10.32% to 11.00%, reflecting the additional EM and currency risks.

However, these aggregate estimates may not fully capture the opportunity in Indian financial market assets. Our CMAs show that the case for Indian equities is compelling when viewed from a returns perspective alone.

The challenge to portfolio efficiency arises from Indian equities' relatively high expected volatility. For context, our CMAs suggest an expected volatility of 29% for Indian large-cap equities. This number is considerably higher than the level experienced over the last 10 years (18.9%) and modestly higher than the level over the past several decades. This is a key point because the drag on risk-adjusted returns in Fig. 8 comes from the higher expected volatility of Indian equities rather than any challenge to the expected return.

As an example, Fig. 9 illustrates that calibrating Indian equity volatility to more recent market experience produces a more balanced assessment of portfolio risk and return. Using recent history as an example shows that risk-adjusted returns actually improve modestly from 0.79 to 0.81.

Overall, this means the debate is less about how high a return Indian equities are expected to deliver over the coming years. Instead, how volatile Indian assets are likely to be is key to whether adding them to global portfolios improves risk-adjusted returns.

Fig. 8

Adding Indian assets gives offshore portfolios a differentiated growth tilt

Portfolio allocations and statistics

INDIA Offshore	0% Indian assets	5% Indian assets	10% Indian assets	15% Indian assets
Cash	5.0	5.0	5.0	5.0
Fixed Income	40.0	40.0	40.0	40.0
Equities	50.0	50.0	50.0	50.0
Commodities	5.0	5.0	5.0	5.0
Cash	5.0	5.0	5.0	5.0
DM Govt Bond	17.0	16.0	15.0	14.0
DM IG Bonds	12.5	11.5	10.5	9.5
EM Bonds (USD)	10.5	10.0	9.5	9.0
India Bonds	0.0	2.5	5.0	7.5
Developed Markets Equity	44.5	42.0	40.0	38.0
Emerging Markets Equity	5.5	5.5	5.0	4.5
India Equity	0.0	2.5	5.0	7.5
India Large-cap Equity	0.0	1.5	3.0	4.5
India Mid-/Small-cap Equity	0.0	1.0	2.0	3.0
Commodities	5.0	5.0	5.0	5.0
	100	100	100	100
Expected returns (USD)	6.10%	6.11%	6.11%	6.10%
Expected volatility	10.32%	10.52%	10.74%	11.00%
Risk-adjusted return (USD)	0.59	0.58	0.57	0.56
Historical 10Y returns (USD)	7.60%	7.57%	7.56%	7.54%
Historical 10Y volatility	9.58%	9.45%	9.34%	9.26%
Risk-adjusted return (USD)	0.79	0.80	0.81	0.81

Source: Bloomberg, Standard Chartered

Note: Portfolio allocations are illustrative only and should not be relied upon as investment advice or used as the basis for investment decisions

Pulling this together, we would argue that a strong case exists for a measured allocation to Indian assets – particularly equities – exists, in our view, provided **two conditions** are met.

First, investors should retain conviction that the structural drivers of India's return premium – including earnings growth, improving governance and an expanding investable universe – remain intact. This is key to being comfortable with the expected return of Indian equities and bonds.

Second, investors must be willing and able to tolerate the volatility associated with Indian equities. While one could argue that the assumed volatility in our CMAs is high relative to the level experienced in recent decades, under most scenarios, it would remain meaningfully higher than that of DM equities.

Taken together, offshore Indian investors should consider incorporating Indian assets within a globally diversified portfolio. However, the allocation should be deliberate and sized in line with their objectives and risk tolerance, reflecting a conscious investment view and not just the familiarity of a home bias.

Fig. 9

Portfolio outcomes appear more balanced when Indian equity volatility is calibrated to recent experience

Portfolio allocations and statistics

INDIA Offshore	0% Indian assets	5% Indian assets	10% Indian assets	15% Indian assets
Expected returns (USD)	6.10%	6.11%	6.11%	6.10%
Expected volatility*	10.32%	10.29%	10.27%	10.26%
Risk-adjusted return (USD)	0.59	0.59	0.59	0.59

Source: Bloomberg, Standard Chartered

* Volatility for India large-cap equities and India mid-/small-cap equities is based on historical 10-year annualised volatility; all other assets use CMAs.

These results show that cross-border diversification serves different needs for different investors but leads to the same portfolio conclusion. For onshore Indian investors, global assets can help lower volatility, broaden sector exposure and provide a structural hedge against INR depreciation. For offshore Indian investors, India offers a deliberate growth and real-yield allocation that is under-represented in global benchmarks. In both cases, combining Indian and global assets can build a more resilient portfolio across market cycles.

Different starting points, the same destination

Resident onshore Indian investors and offshore Indian investors begin from opposite starting points. One is anchored in India and looking outward; the other is anchored globally and looking inward. Their regulatory regimes, base currencies and available instruments differ. Yet the portfolio destination is the same: meaningful exposure to both India and the world.

That conclusion reflects the reality of an interconnected investment world. Indian corporate earnings are shaped by global commodity prices, technology supply chains and demand from DMs. At the same time, companies in the US, Europe and Japan are exposed to the consumption growth of emerging economies, including India. Bond markets may respond first to domestic central banks, but they are still influenced by global rate cycles; gold is priced in USD, yet its impact is felt across currencies. No investor can afford to treat the other half of the world as irrelevant.

What differs is not the principle, but the path. The onshore Indian investor adds global exposure as a deliberate extension of an India-centric portfolio, seeking additional return opportunities while gaining a structural hedge against INR depreciation. The offshore investor builds India exposure as a deliberate overweight above global benchmarks, accepting INR volatility as the cost of accessing India's growth premium and real-yield opportunity. The appropriate allocation will differ by profile and risk appetite, but the core message is the same: **both investors need both markets.**



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